INTRODUCTION

The foreign exchange market facilitates international currency and trade flows, and it is important to understand how currency exchange rates are calculated. Market participants can also derive cross-rates to expand trading opportunities by determining quotes for currencies not directly traded. Understanding the concept of arbitrage relationships in the foreign exchange market provides a basis for understanding the interrelationships between four key market inputs. Global entities trade currencies for a wide variety of purposes and understanding the relationships between the market factors affecting spot and forward rates is crucial. These interactions are reinforced by the calculations in the second lesson.

Learning Module Overview

- An exchange rate between two currencies that are not expressly quoted on the market is known as a cross-rate and can be calculated using conventional currency quotes.
- Three conventional currency market quotes can be used with one inversion to calculate a cross-rate.
- Discrepancies in exchange rates can create arbitrage opportunities but they are rare due to market efficiencies.
- The premium of a forward exchange rate over a spot rate is quoted in terms of forward points, which are also called swap points.
- Forward rates are directly proportional to currency spot rates, the interest rate differential, and the maturity of the forward contract.
- As a result of the interrelationship among these four variables, any variable can be calculated by using the other three as inputs.

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